Phase II −− Global vs local cycle factor (horse race)

Country	R2 CF	R2 GCF	R2 joint	t(CF_perp)	t(GCF)	Wald p	Wald p (BH)
Belgium	0.301	0.209	0.301	2.38	3.69	0.000	0.000
Germany	0.256	0.284	0.284	0.16	4.30	0.000	0.000
France	0.126	0.260	0.261	−0.23	4.21	0.000	0.000
Italy	0.287	0.074	0.315	3.75	2.08	0.000	0.000
Netherlands	0.344	0.263	0.350	3.30	3.96	0.000	0.000
Switzerland	0.073	0.194	0.194	−0.15	2.97	0.012	0.012
UK	0.262	0.261	0.286	1.78	4.00	0.000	0.000
Sweden	0.238	0.291	0.293	−0.45	4.48	0.000	0.000
Canada	0.320	0.352	0.358	0.70	4.14	0.000	0.000
Japan	0.185	0.202	0.224	1.36	3.15	0.007	0.007
US	0.326	0.326	0.333	0.93	4.39	0.000	0.000

LHS: local−currency rx_bar_{i,t+12}. 'R2 CF' and 'R2 GCF' are single−factor fits (Eq 18, Eq 20); 'R2 joint' is rx_bar ~ CF_perp + GCF, with CF_perp the part of the local factor orthogonal to GCF (Eq 19). HAC t−stats; Wald p tests joint significance; BH = Benjamini−Hochberg FDR across the eleven markets. A significant GCF with an insignificant CF_perp signals subsumption by the global factor.